Sector Underwriting Note: Light Engineering

ASHVA CAPITAL LIMITED
CREDIT POLICY MANUAL — VOLUME II: SECTOR UNDERWRITING GUIDELINES
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SECTION 14.8: SECTOR UNDERWRITING NOTE — LIGHT ENGINEERING SMEs

14.8.1 Scope & Sector Definition This underwriting note applies to all facility requests originated under the Small and Medium Enterprise (SME) lending program where the primary borrower operates in the Light Engineering sector. Sub-sectors covered under this clause include precision component manufacturing, sheet metal fabrication, industrial valve/pump manufacturing, auto-ancillary machining, and specialized tooling original equipment manufacturer (OEM) suppliers.

14.8.2 Maximum Portfolio Concentration Limit 1. Sector Exposure Cap: The total aggregate outstanding exposure (funded and non-funded limits combined) to the Light Engineering SME sector shall not exceed 8.50% of Ashva Capital’s total gross loan book (AUM) at any point in time. 2. Hard Ceiling Threshold: If total sector exposure reaches 7.75% of AUM, the Credit Risk Committee (CRC) will trigger an automatic freeze on all new facility originations above ■15,000,000 until exposure drops below 7.25%.

14.8.3 Standard Working Capital Cycle Definition Underwriters must evaluate working capital facilities against a baseline Net Working Capital Cycle (NWCC) of 118 days, broken down into the following operational components:

* Raw Material Inventory Hold Period: 35 days
* Work-in-Progress (WIP) Conversion Period: 22 days
* Finished Goods Inventory Hold Period: 16 days
* Gross Debtor Collection Period (Receivables): 75 days
* Less: Creditor Payment Period (Payables): 30 days
* Standard Net Working Capital Cycle: 118 days

Policy Mandate: Any facility application reflecting a projected or historic NWCC exceeding 135 days requires an explicit sanction override approved by the Head of Credit Risk (SME Division) and a mandatory 15% haircut applied to the calculated Eligible Working Capital Limit.

14.8.4 Financial Ratios & Mandatory Numeric Thresholds

To qualify for facility sanction, the borrower’s audited financial statements for the preceding two fiscal years must meet or exceed all six specific numeric thresholds listed below. Exceptions cannot be granted at the Regional Credit Manager level.

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| Financial Metric / Threshold Parameter | Sector Mandate |
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| 1. Minimum Debt Service Coverage Ratio (DSCR) | 1.35x (Floor) |
| 2. Minimum EBITDA Margin | 9.50% |
| 3. Maximum Leverage (Total Outstanding Debt/EBITDA)| 3.25x |
| 4. Single Customer Concentration Cap | 35.00% of Total Revenue |
| 5. Maximum Allowable Receivables > 90 Days | 5.00% of Gross Debtors |
| 6. Minimum Interest Coverage Ratio (ICR) | 2.10x |
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1. DSCR Floor Adjustment: The baseline standard DSCR across Ashva Capital's commercial book is 1.25x. Due to margin sensitivity and OEM payment lag in this sector, the Light Engineering DSCR floor is strictly fixed at 1.35x. Facilities presenting a DSCR between 1.25x and 1.34x must be escalated directly to the Chief Credit Officer, Dr. Aris Thorne, for explicit dual-signoff.
2. Customer Concentration Penalty: If a single Tier-1 OEM or buyer accounts for more than 35.00% of the borrower’s annual revenue, underwriters must apply a 100% haircut to all receivables due from that specific buyer when establishing the borrowing base for working capital facilities.

14.8.5 Seasonality Adjustments & Debt Service Structure 1. Seasonal Volume Suppression: Light Engineering SMEs experience a recurring operational slowdown during the monsoon season and OEM plant maintenance shutdowns (specifically Q2: July 1 to September 30). 2. DSRA Holdback Reserve: Underwriters must enforce a seasonal debt service adjustment for all term loans: * During the peak revenue quarters (Q3 and Q4), the borrower shall build a Debt Service Reserve Account (DSRA) equal to 1.50x monthly Principal + Interest installments. * Underwriters are prohibited from structuring bullet principal repayments falling due between July 1 and September 30 of any calendar year.

14.8.6 Primary Sector Distress Drivers Underwriters must conduct specific stress testing against the two most frequent historical causes of default in the Light Engineering SME sector:

1. OEM Payment Creep and Inventory Bullwhip:
* *Mechanism:* Tier-1 automotive and capital goods buyers unilaterally extend payment terms from 60 to 120+ days during macro demand contractions, while forcing SMEs to hold minimum safety stock levels of finished components.
* *Required Stress Test:* Underwriters must model a 45-day expansion in the borrower's Gross Debtor Collection Period. If the post-stress DSCR falls below 1.05x, the facility must be rejected.

2. Raw Material (Steel/Aluminum) Volatility without Price Pass-Through:
* *Mechanism:* Unhedged fixed-price supply contracts coupled with sharp increases in raw material input prices (e.g., hot-rolled coil steel or alloy ingots) compress gross margins rapidly.
* *Required Stress Test:* Underwriters must execute a sensitivity run assuming a 12.00% increase in raw material procurement costs against fixed revenue prices. If the resulting EBITDA margin drops below 6.00%, the facility requires a corporate guarantee from the primary promoters or additional liquid collateral.

14.8.7 Acceptable Collateral Types & LTV Limits

Facilities extended to Light Engineering SMEs must be secured by eligible collateral categories up to the maximum Loan-to-Value (LTV) limits specified below:

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| Collateral Category | Maximum LTV | Mandatory Condition / Qualification |
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| Industrial Land and Heavy Shed Structures | 60.00% | Clear industrial title; non-agricultural conversion.|
| Computer Numerical Control (CNC) & Precision Machinery | 45.00% | Maximum machine age: 5 years. Invoice backed. |
| Ashva Fixed Deposits / Government Sovereign Bonds | 90.00% | Lien marked directly in core banking system. |
| Book Debts / Receivables (< 90 days aging) | 40.00% | Excludes receivables from associate companies. |
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Ineligible Collateral Note: Specialized/customized dies, jigs, molds, and general unmachined raw steel stock are categorized as Zero Collateral Value (0.00% LTV) and shall not be computed toward security coverage ratios.

APPROVED BY:

Marcus Vance
Chief Credit Officer, Ashva Capital Limited
Signed via Internal Policy Portal (Auth ID: CCO-99482-SEC14)